

Annuity refers to series of uniform cash flows at regular intervals. The table value gives the present value of annuity of rupee one received at the end of every year for a specified number of years.

The following formula is used to compute annuity factor:

$$\text{Annuity factor} = \frac{(1+i)^n - 1}{i(1+i)^n}$$

where, i = interest rate

n = estimated number of years

Illustration 9

From the following information, compute the value of goodwill as per annuity method:

(a) Capital employed: ₹ 50,000

(b) Normal rate of return: 10%

(c) Profits of the years 2016, 2017 and 2018 were ₹ 13,000, ₹ 15,000 and ₹ 17,000 respectively.

(d) The present value of annuity of ₹ 1 for 3 years at 10% is ₹ 2.4868.

Solution

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$= \frac{13,000 + 15,000 + 17,000}{3}$$

$$= \frac{45,000}{3}$$

$$= ₹\ 15,000$$

Normal profit = Capital employed × Normal rate of return

= 50,000 × 10%

= ₹ 5,000

Super profit = Average profit – Normal profit

= 15,000 – 5,000

= ₹ 10,000

Goodwill = Super profit × Value of annuity

= 10,000 × 2.4868 = ₹ 24,868

(c) Capitalisation of super profit method

Under this method, value of goodwill is calculated by capitalising the super profit at normal rate of return, that is, goodwill is the capitalised value of super profit.

$$\text{Goodwill} = \frac{\text{Super profit}}{\text{Normal rate of return}} \times 100$$

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